

Econ 2 - Lecture 2 - 4/1/26

Tomorrow! → Coffee Hours Sign-up

Lecture Quiz #1 Released Today on TopHat

Due Monday, April 6th at 12:30 PM

New
External
Announcement
Module



→ One chance per question

→ Possible to start and stop

→ Each correct answer worth 0.2 to 0.25% (up to 10%)

Discussion Section Week #1: Meet TA, Google form "Quiz"

Discussion Section Week #2: Activity #1, Housing Analysis

Weekly Review Session: Fridays at 1 PM & 2 PM in NH 1110

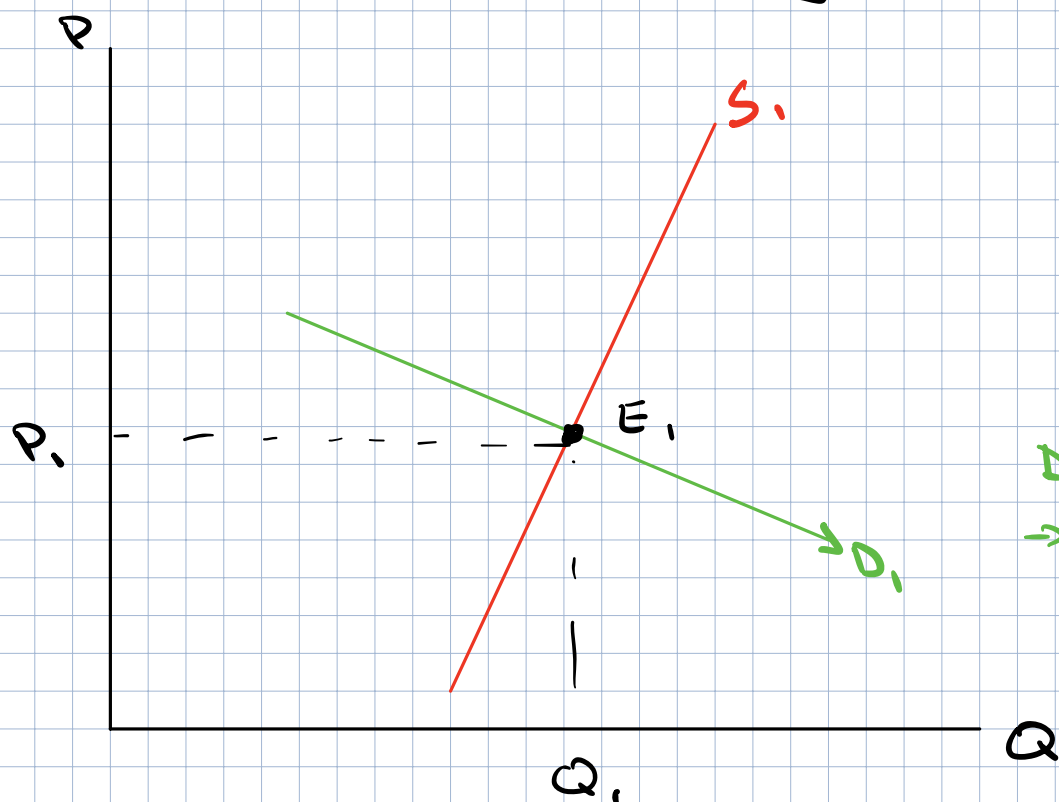
Longer, more difficult questions → traditional section
→ 500+

Lots of questions scattered throughout TopHat (textbook)

→ Don't ask for more, write your own

Last Class

Relative Elasticity of Housing Demand vs Supply



Supply of
Housing
→ build new
home → timing
→ relatively
fixed

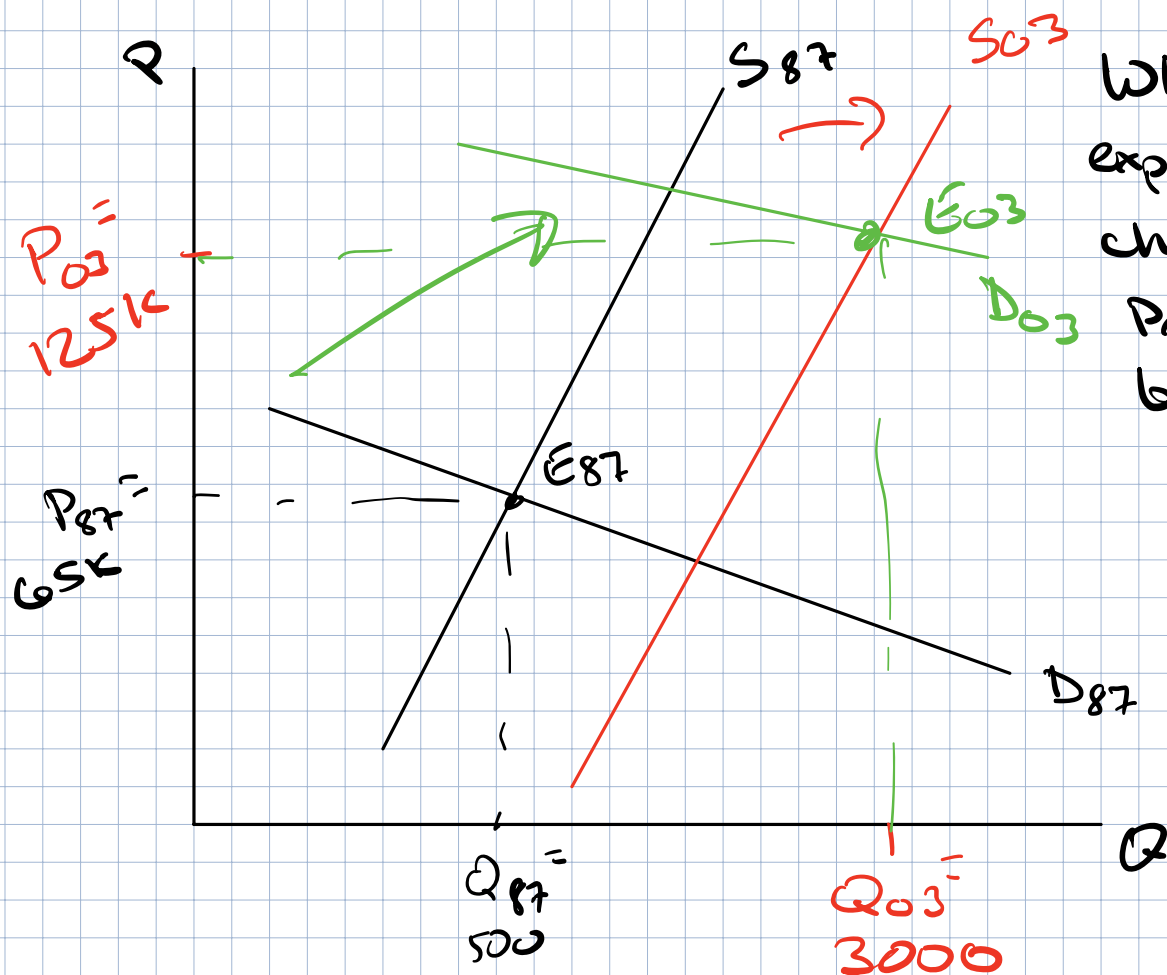
Demand for homes
→ easier to
respond for
buyers

Las Vegas Housing Since 1980

1987 Price = 65K, 2000s Price = 125K

1987 $Q = 500$

2000 $Q = 3000$



What explains the changes in Price & Quantity between 1987 & 2003

$P \uparrow, Q \uparrow$

More building $\rightarrow$ suggest supply increases

Demand increase must be larger

$\rightarrow$ Because final outcome is $P \uparrow, Q \uparrow$

Evidence of:

$\rightarrow$ Decrease in unemployment, increase in income

$\rightarrow$ Decrease in mortgage rates

Mortgage-Backed Securities

- Banks consolidating mortgages into a single security that they can sell to investors
- Banks can pass off risk
- Investors can accurately price probability that borrowers foreclose

Speculation → Buy assets just to sell later

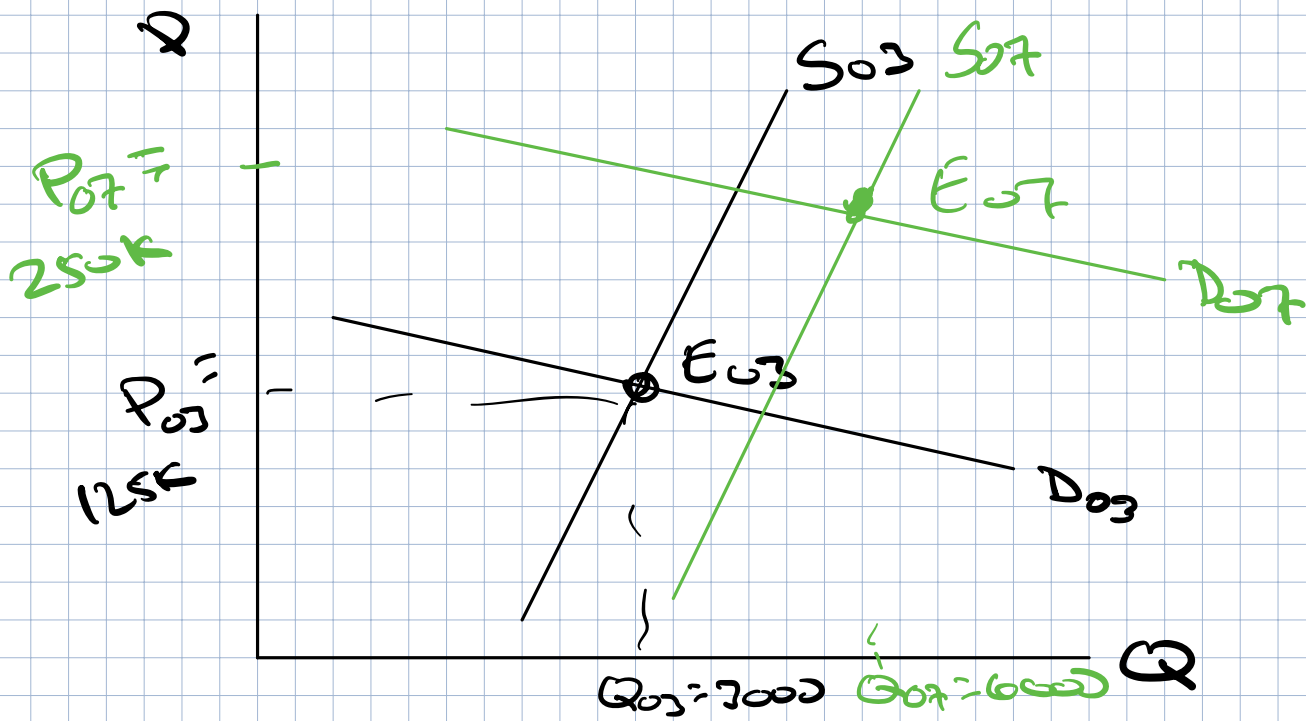
Rise in no money down, low initial interest
NINJA loans

rates → adjust
Adjustable Rate
Mortgages (ARM)

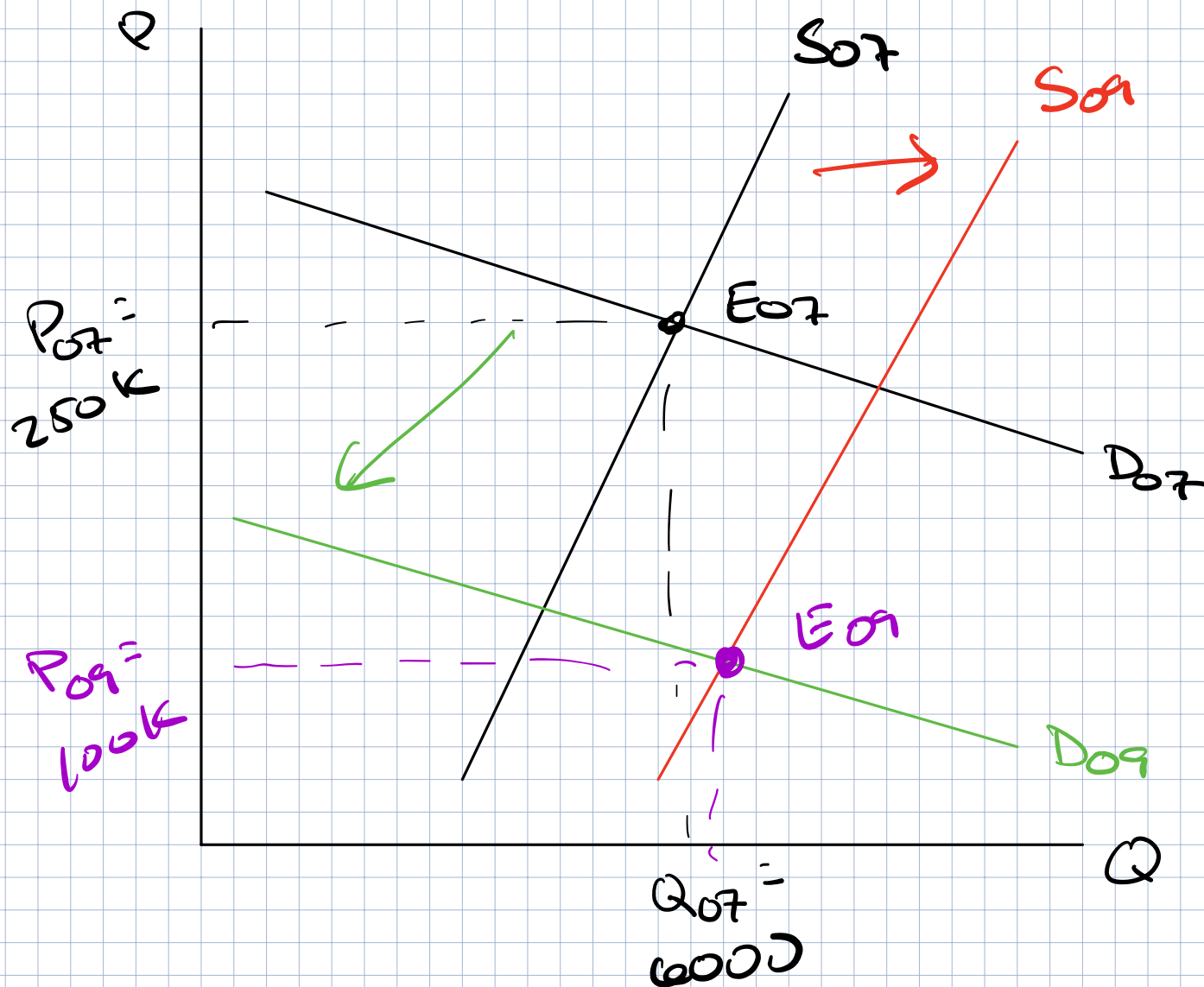
Houses → traded like Tulips / Beanie
Babies

$$P_{2003} = 125K \quad Q_{2003} = 3000$$

$$P_{2007} = 250K \quad Q_{2007} = 6000$$



2006/2007: Slowing Price Growth,
Rising ALM Rates,



Softening in housing market $\rightarrow$ future uncertainty
 $\rightarrow$ Speculators $\rightarrow$ stop buying $\rightarrow D \downarrow$
 $\rightarrow$ Start selling more $\rightarrow S \uparrow$

$\downarrow D + \uparrow S$

$P \downarrow, Q \downarrow$

$P \downarrow, Q \uparrow$

$P \downarrow \downarrow, Q \uparrow \downarrow$

$Q_{09} = 1000$

Big $\downarrow$ in Q

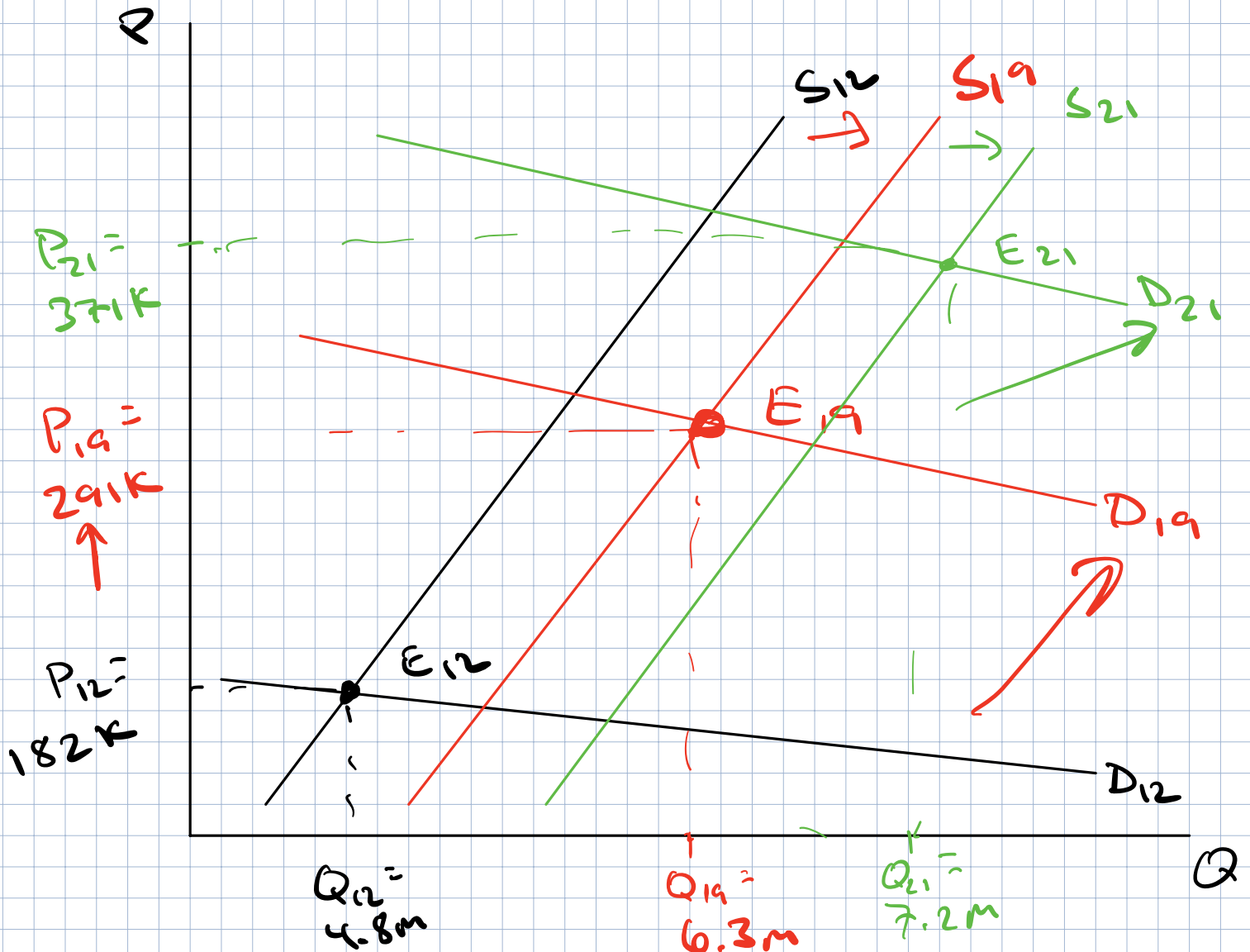
Housing market today?

<u>Year</u>	<u>P</u>	<u>Q</u>
2012	182K	4.8m
⋮	⋮	⋮
<u>2019</u>	<u>291K</u>	<u>6.3m</u>
⋮	⋮	⋮
2021	371K	7.2m
⋮	⋮	⋮
2025	433K	5.5m

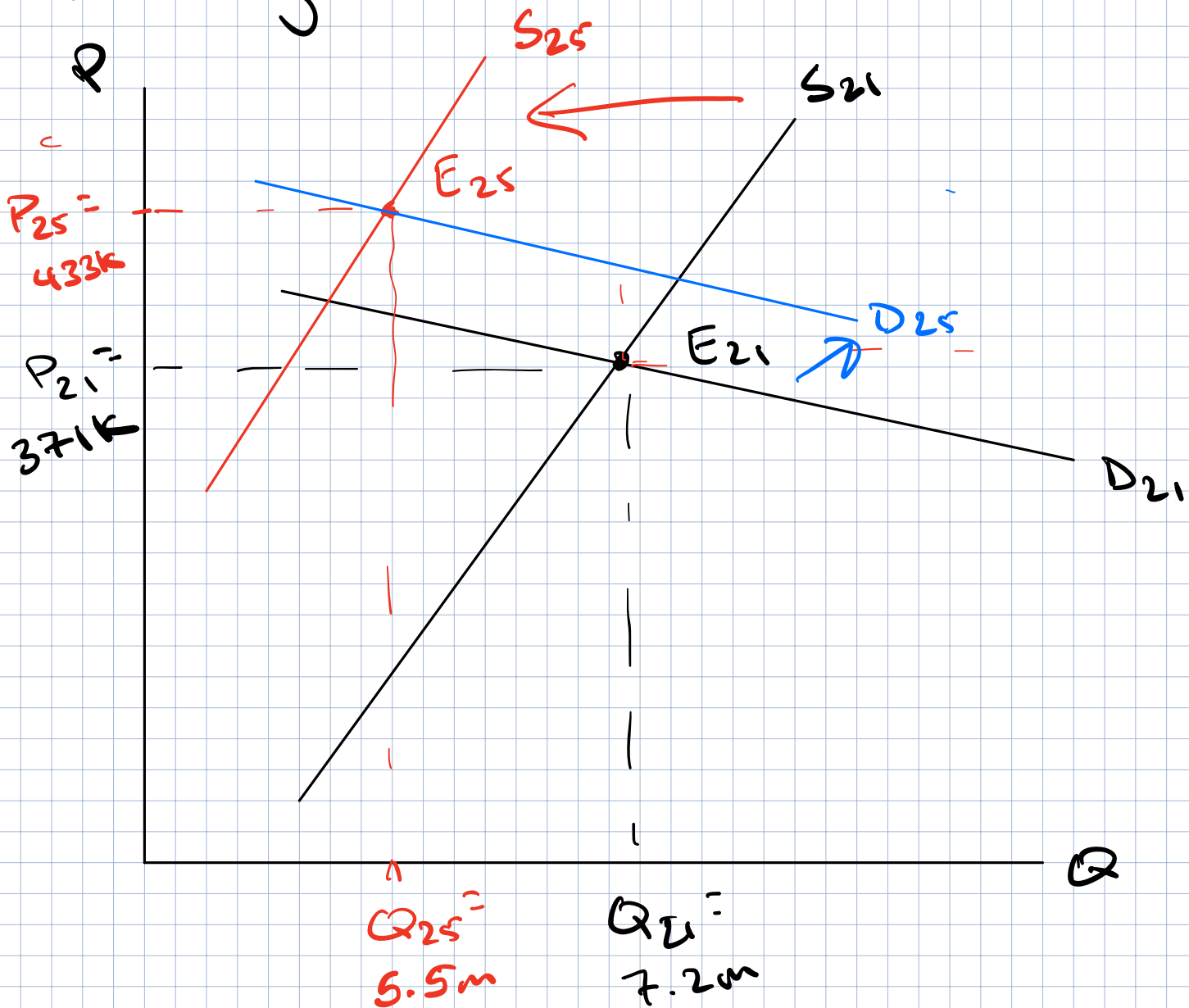
$P \uparrow, Q \uparrow$
 $\Rightarrow D \uparrow$

$P \uparrow, Q \uparrow \Rightarrow S \uparrow$

$P \uparrow, Q \downarrow$



Housing 2021 → 2025



$P \uparrow \text{ \& } Q \downarrow \Rightarrow$ Supply had to decrease!

Interest Rates: As low as 2.75% in 2021

Inflation in 2022-2023 $\Rightarrow$ Fed raised rates

By 2024, mortgage rates $\approx$ 8%.

Anyone who bought in 2021

does not want to give low mortgage